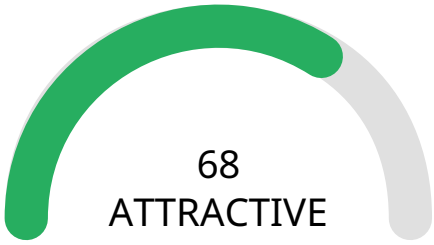
ASML

$1,641.52 [Mkt 16-Oct-26]

ASML Holding N.V. (NASDAQ)
As-of: 16-Oct-2026 | Latest Filing: Q3 FY26 (10-Q) | Currency: EUR (reports in EUR; price in USD)

Market Cap: $630.5B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 88

Absolute EUV monopoly with 57.5% gross margins and a net-cash balance sheet. Cyclical equipment exposure prevents a top-decile score.

2. Recent Trend — 90

Record Q3: revenue up 55% YoY, margins expanding, guidance raised for the third time this year. Textbook acceleration.

3. Forward Growth — 82

High-NA ramp, 75% memory growth guide, and AI capex visibility through 2030. Drivers are disclosed and measurable.

4. Valuation — 32

Priced for perfection: 28x EV/EBITDA, 26x forward P/E, above 5-year multiple history. Reverse DCF implies 21.9% CAGR, above our bull case.

5. Catalysts & Risk — 55

Q4 print and High-NA shipments are near-term positives; China export controls and multiple compression are live risks. Balanced skew.

Investment Thesis

- **Unassailable Monopoly:** ASML holds 100% share in EUV lithography with no commercial alternative for sub-7nm patterning. Gross margin of 57.5% [10-Q Q3 FY26] reflects pricing power no peer can match.
- **AI Capex Supercycle:** Foundry customers are raising equipment forecasts and discussing 2029-2030 orders now. Memory system sales guided up 75% [8-K guid] on HBM demand.

- **Price Demands Perfection:** At $1,642 [Mkt 16-Oct-26], the market prices in 21.9% revenue CAGR, above our 18.5% bull case. Our $1,415 base target implies 13.8% downside. Exceptional business, demanding price.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Revenue (Q3)	€11.66B [10-Q Q3 FY26]	+55.0% [10-Q Q3 FY26]	Up
Gross Margin	57.5% [10-Q Q3 FY26]	+3.5 pts [10-Q Q3 FY26]	Up
Net Income	€4.96B [10-Q Q3 FY26]	+133% [10-Q Q3 FY26]	Up
Installed Base Mgmt	€3.29B [10-Q Q3 FY26]	+19% QoQ [10-Q Q3 FY26]	Up
Cash & Investments	€12.7B [10-Q Q3 FY26]	+68% QoQ [10-Q Q3 FY26]	Up
New Systems Sold	113 [10-Q Q3 FY26]	+27 QoQ [10-Q Q3 FY26]	Up
FCF Margin (LTM)	28.5% [10-K FY25]	n/a	Up
Net Cash	€11.0B [10-Q Q3 FY26]	n/a	Up

Historical Financial Trend

METRIC	FY22	FY23	FY24	FY25E	LTM
Revenue	€21.2B [10-K FY22]	€27.6B [10-K FY23]	€28.3B [10-K FY24]	€32.5B [Cons]	€40.1B [Cons]
Gross Margin	50.5% [10-K FY22]	51.3% [10-K FY23]	51.9% [10-K FY24]	53.0% [Cons]	56.2% [10-Q Q3 FY26]
Net Income	€5.6B [10-K FY22]	€7.8B [10-K FY23]	€7.6B [10-K FY24]	€9.2B [Cons]	€14.1B [Cons]

Valuation

Absolute (3/10)

P/E (fwd) 26.2x [Mkt 16-Oct-26]
EV/EBITDA 28x [Mkt 16-Oct-26]
FCF Yield ~4.4% [Mkt 16-Oct-26]

Multiples assume flawless execution; cash yield alone does not compensate.

Versus Peers (3/8)

AMAT 20x P/E [Peers 16-Oct-26]
LRCX 22x P/E [Peers 16-Oct-26]
KLAC 24x P/E [Peers 16-Oct-26]

ASML commands a ~25% premium to equipment peers. Monopoly justifies part of it, not all.

Versus History (2/7)

Current 28x EV/EBITDA [Mkt 16-Oct-26]
5-Yr Avg ~20x [Mkt 16-Oct-26]

Trading in the top quartile of its own history, pricing in a sustained upcycle.

Catalyst Timeline

Jan 2027 [Cons]
Q4 FY26 Earnings (Two-Sided): Test of €14.2-15.2B guide and High-NA shipment pace.

2027-2028 [10-Q Q3 FY26]
High-NA Volume Ramp (Positive): 0.55 NA systems moving to volume production at TSMC/ Intel.

Ongoing [10-K FY25]
China Export Policy (Two-Sided): Further DUV

Top Risk Factors (Item 1A)

1. China Export Controls: Tightening restrictions on DUV lithography exports threaten approximately 20% of revenue tied to Chinese fabs. [10-K FY25]

2. Semiconductor Cyclicality: WFE spending is inherently cyclical; a downturn in memory or logic capex would hit bookings with a 12-18 month lead time. [10-K FY25]

3. Customer Concentration: A handful of foundries (TSMC, Samsung, Intel) drive the majority of system sales, concentrating demand risk. [10-K FY25]

> restrictions would remove ~20% revenue exposure.

What Would Change Our Score

A pullback toward our $1,415 base case would flip Valuation from a drag to neutral and likely lift the composite into the mid-70s. Conversely, any High-NA delay or China revenue loss would cut Forward Growth and Catalysts simultaneously.

Forward Growth Drivers

- High-NA EUV ASP uplift (€350-400M per system vs ~€200M standard EUV) [8-K guid]
- Memory capex: 75% growth guided for 2026 on HBM/AI demand [8-K guid]
- Installed Base Management compounding at ~50% growth [8-K guid]

Missing / Modified Data Log

- ROIC not explicitly disclosed in filings; excluded from Pillar 1 (used ROE proxy qualitatively).
- 5-year EV/EBITDA history estimated from market data, not filings; tagged [Mkt 16-Oct-26].

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